THE HON'BLE MAHARASHTRA ELECTRICITY REGULATORY COMMISSION

In the matter of: Prior approval of Fuel Adjustment Charge (FAC) for the month of august 2024 considering the provisions of the MYT Regulations 2019, and as per the Mid-Term Review (MTR) Tariff Order of AEML-D for FY 2023-24 and FY 2024-25 in Case No. 231 of 2022,

Adani Electricity Mumbai Limited
CTS 407/A (New), 408 (Old),
Village Eksar, Devidas Lane, Off SVP Road,
Borivali (West), Mumbai 400103

THE APPLICANT ABOVENAMED MOST RESPECTFULLY SHEWETH

1. The Applicant, Adani Electricity Mumbai Limited – Distribution business, (hereinafter referred to as "AEML-D") is a Company registered under the provisions of the Indian Companies Act, 2013 and is, inter alia, a Distribution Licensee under the Electricity Act 2003.

2. The Hon'ble Commission has issued the MTR Order for AEML-D on 31-03-2023 in Case No. 231 of 2022, wherein the Hon'ble Commission has stated that the Fuel Adjustment Charge (FAC) component of the Z-factor charge will be determined in accordance with the formula specified in the relevant Multi Year Tariff Regulations and any directions that may be given by the Commission from time to time. In Section 6.1.2.1 of the said MTR Order, the Hon'ble Commission has specified the FAC mechanism which provides for prior approval of monthly FAC

3. The Hon'ble Commission has on 20-04-2020, issued a letter to all the Distribution Licensees, including AEML-D, explaining the guiding principles to be adopted for scrutinizing FAC proposals for prior approval along with the checklist and formats for filing FAC proposals for FY 2020-21 onwards.

4. In accordance with the above, AEML-D is submitting the information as required by the Hon'ble Commission towards prior approval for the month of august 2024.

The FAC Return Financial model is attached herewith as **Annexure A** and the Checklist is attached herewith as **Annexure B**.

AEML-D wishes to submit the following which has been taken into account while filling in the requisite formats:

The Hon'ble Commission, vide its letter dated 19-05-2021, has provided the methodology for considering consumer sales for FAC submissions of distribution licensees from April 2021 (nth month) onwards. In compliance to the same, AEML-D has considered the energy sales for FAC purposes for August 2024 as follows:

1. Energy sales data for EHT and HT consumers (AMR) and LT consumers (load above 20 kW) where meters are read remotely or where monthly readings are downloaded is considered for nth month (i.e. for August 2024). That is, to the extent of sales to these consumers, the power purchase and sales directly correspond to each other.

2. For cycle consumers (LT cycle billing), consumption data provided is for bill generation (bill posting date) from 1st August to 31th August. It is comprised on average half of previous month and half of August. Because of this, there would be variation in

distribution losses worked out for FAC, as explained later.

AEML-D submits that the above reporting of energy sales is only for the purpose of FAC submissions. AEML-D accounts for energy sales of its cycle consumers basis its reading cycles scheduled from 16th of a month to 15th of next month. Therefore, energy sales for the purpose of financial accounts and ARR filing shall continue to be on a cycle billing basis only. This will cause differences between the 12-month aggregate sales as per FAC filings and the annual energy sales as reported in the ARR.

The energy purchase data is accounted for and provided for in FAC monthly i.e. for the month of June, the energy purchase data will be from 1st August to 31th August.

In accordance with the above, the total sales considered in the present FAC submission is shown in the table below:

Category	**Sale (MU)**	**Category**	**Sale (MU)**	**Category**	**Sale (MU)**
LT-Residential	436.59	HT-Industrial	38.76	EHT-Metro	6.76
LT-Commercial	238.46	HT Commercial	44.78		
LT-Industrial	56.77	HT Group Housing	1.25		
LT Others	22.33	HT Others	25.43		
LT Total (A)	**754.15**	**HT Total (B)**	**110.22**	**EHT Total (C)**	**6.76**
				Total (A)+(B)+(C)	**871.13**

Distribution loss

It is submitted that the distribution loss levels for the purpose of FAC (i.e. accounting losses) are represented as the difference between the quantum of T< >D input attributable to AEML-D only and sales corresponding to AEML-D's own consumers.

Total T< >D input for the month of August 2024, as metered, is 1099.89 MU. Out of which, change-over sales of 134.78 MU and credit for approx. 0 MU pertaining to OA consumers (Firm & Non-Firm) has been subtracted. Thus, against the total metered T< >D input of 1099.89 MU for the month of August 2024, for the purpose of distribution loss computation for FAC, T< >D input to be considered as pertaining to AEML-D consumers, is 939.17 MU. Sales considered for the purpose of distribution loss computation are 871.14 MU (this is after netting off GCN credit for OA consumption). Accordingly, Distribution Loss for the month of August 2024 works out to 7.24% vs the approved target of 6.55%. The Hon'ble Commission, in the MYT Order dated 30-03-2020 in Case No. 325 of 2019, had approved the distribution loss at 6.55% for FY 2024-25. The Hon'ble Commission, in the MTR Order in Case No. 231 of 2022, has retained the distribution loss target at 6.55% for FY 2024-25 as approved in the MYT Order.

The distribution loss being reported concerns the difference between the input energy and sales attributable to AEML-D's own consumers. As mentioned above, the sales being reported for LT cycle billing is as per bill posting date, whereas the energy input will be pertaining to the concerned month itself and thus there will be variation in losses on account of the differing period of purchase and sales.

The Hon'ble Commission, in its May 2021 month FAC prior approval dated 11-10-2021, has, for the first time by relying on Regulation 10.8 of the MYT Regulations, 2019, considered the actual annual sliding distribution loss with the annual approved loss. The relevant extract is as follows: *"…Provided further that, where the actual annual sliding distribution losses of the Distribution Licensee exceed the level approved by the Commission, the amount of ZFAC corresponding to the excess distribution losses (in kWh terms) shall be deducted from the total ZFAC recoverable."*

The annual sliding loss for AEML-D from **september-23 to august-24** is 5.13% Vs distribution loss target at 6.55% for FY 2024-25 as approved in the MYT Order.

Power purchase quantum and cost - ADTPS

a) Fixed cost for AEML-G has been considered as Rs. 376.33 Crore as approved for AEML-G in its MYT Order in Case No. 229 of 2022, which amounts to Rs. 31.36 Crore per month.

b) The actual Plant Availability Factor for the month (PAFM) for both units of AEML-G in Aug 2024 were 80.84% during peak hours and 80.85% during off peak hours. The cumulative availability for off-peak season up to Aug 2024 works out to 87.52% during peak hours and 87.23% during off-peak hours. The actual PLF for both units of AEML-G in Aug 2024 were 61.23% during peak hours and 62.53% during off peak hours. The cumulative PLF up to Aug 2024 works out to 67.50% during peak hours and 68.42% for off-peak hours.

c) AEML-G has calculated the capacity charges for peak hours of the month and for off peak hours of the month payable for August 2024 as per Regulation 50.2 of the MYT Regulations, 2019. The capacity charges for peak hours works out to Rs. 6.27 Crore and the capacity charges for off-peak hours work out to Rs. 25.09 Crore, totaling Rs. 31.36 Crore. The calculation of Availability, fixed charges and PLF are attached herewith as **Exhibit 1**.

Washed Coal

AEML-G has not received any washed coal and has consumed 44.00 MT of washed coal in August 2024. The calculations for arriving at the cost of consumed washed coal in August 2024 are attached herewith as **Exhibit 2A**. The various adjustments made in August 2024 are as under:

i) The differential ITC on GST paid through different invoices for the month of July 2024 amounting to Rs. (10,867)/- has been considered under respective heads in August 2024. The details of ITC are provided in **Exhibit 10**.

ii) In August 2024, AEML-G has paid railway charges of Rs. 64,260/- related to washed coal. This railway charges are related to rakes received in July 2024. The details are provided in **Exhibit 8**.

iii) In the month of August 2024, AEML-G received Debit Note of Rs. 2,69,94,208/- & Credit Note of Rs. (4,72,01,506)/-) from SECL. The net credit amount of Rs. (2,02,07,298)/- has have been included as an adjustment under SECL coal purchases in August 2024. As sufficient stock inventory of washed coal is not available, the adjustment is booked under Other Fuel Charges. The details are provided in **Exhibit 9**.

Raw Coal

AEML-G has received 1,91,800.50 MT of raw coal at the plant boundary of ADTPS and has consumed 2,04,341.23 MT of raw coal in August 2024. The calculations for arriving at the cost of received / consumed raw coal in August 2024 are attached herewith as **Exhibit 2B**. The various adjustments made in July 2024 are as under:

i) The differential ITC on GST paid through various invoices for the month of July 2024 amounting to Rs. (3,00,924)/- has been considered under respective heads in August 2024. The details of ITC are provided in **Exhibit 10**.

ii) In August 2024, AEML-G has paid railway charges of Rs 13,55,778/- related to Raw coal. This railway charges are related to rakes received in July 2024. The details are provided in **Exhibit 8**.

iii) In the month of Aug 2024, AEML-G received net Credit Note amounting to Rs. (77,56,116)/- (i.e. Debit Note of Rs. 61,81,609/- & Credit Note of Rs. (1,39,37,725)/-) from SECL and it has been included as an adjustment under SECL coal purchases in August 2024. The details are provided in **Exhibit 9**.

Imported Coal

In August 2024, AEML-G procured 22,673.03 MT of Imported coal from Adani Enterprise Limited (AEL) through a competitive bidding process. The coal was received at the plant boundary of ADTPS, and 13,266.37 MT of Imported coal was consumed in August 2024. The calculations for arriving at the cost of received raw coal in August 2024 are attached herewith as **Exhibit 2C**.

In October 2023, AEML-G purchased imported coal from M/s. Hi Lingos through vessels MV Thor. Some portion of quantity i.e. 1,235.03 MT was laying at Dahej port. In May 2024, AEML-G sold this balance quantity of imported coal to M/s. Adani Power Limited amounting to Rs. (79,78,646)/-. There was no stock of imported coal in May 2024. Hence the said amount of Rs. (79,78,646)/- has now been passed on in FAC for August 2024.

LDO

AEML-G has not procured LDO in August 2024 but consumed 53.952 KL of LDO in August 2024. The cost of consumed coal is derived from the cost of opening inventory of LDO.

i) The supporting bills/ invoices of Domestic Raw coal for freight, Fuel handling charges and other charges used for arriving at the cost of received coal in August 2024 are attached herewith as **Exhibit 3A**. The details of taxes/duties paid are also provided herewith as **Exhibit 3A**.

j) The supporting bills/ invoices of Imported coal for freight, Fuel handling charges and other charges used for arriving at the cost of received coal in August 2024 are attached herewith as **Exhibit 3B**. The details of taxes/duties paid are also provided herewith as **Exhibit 3B**.

k) The details of the actual transit loss of Raw Coal & Imported coal reported in Form F13 are provided as **Exhibit 6B** & **Exhibit 6C**. The transit loss of Raw coal worked out to 1.97% and for Imported Coal works out to 0.103% in August 2024.

l) The third-party sampling report for GCV at ADTPS plant boundary is attached as **Exhibit 4**.

m) AEML-G has disputed the GCV results as declared by QCI for some of the rakes of raw coal received from SECL in August 2024. The scanned copy of correspondence made with SECL along with other details are attached as **Exhibit 7**. The financial outcome of this dispute, if any, will be considered in future months after resolution of the dispute.

n) The Hon'ble Commission in the FAC approval letters dated 02.11.2023 for the months of Aug 2022 to Mar 2023 has reproduced its ruling made in AEML-G's MTR Order dated 31.03.2023 in Case No. 229 of 2022, which is as under:

"4.10.17 Accordingly, the Commission has recalculated GCV (As Received Basis) on the coal procured during the month / year and the weighted average GCV so computed is considered for computation of stacking loss against the GCV (As Fired). The impact of opening / closing stock has not been considered while computing GCV (As Received Basis), the cyclical usage of the coal will nullify the impact in the going concern in future month / year."

Based on the above, the Hon'ble Commission has considered the As Received GCV of coal received during the month in calculation of Energy Charge and has not considered the impact of opening stock for computing weighted average As Received GCV. In August 2024, the As Billed GCV of raw coal was 3483 kCal/kg and As Received GCV of raw coal was 2792 kCal/kg. Since the maximum GCV loss in transit allowable as per MYT Regulations, 2019 is 300 kCal/kg, AEML-G has considered 3183 kCal/kg as the As Received GCV of raw coal for calculation of energy charge. Considering the above, the actual weighted average stacking loss (weighted average of stacking losses of washed coal, raw coal and imported coal) works out to 675 kCal/kg, which is more than the maximum allowable limit of 120 kCal/kg as per MYT Regulations, 2019. Hence AEML-G has considered the stacking loss as 120 kCal/kg for calculation of energy charges.

Energy charges have been computed in accordance with the principles specified in the MYT Regulations, 2019. Accordingly, AEML-G has considered the normative parameters applicable to it as per the MYT Regulations, 2019 such as the Station Heat Rate (SHR) of 2430 kCal/kWh, auxiliary consumption of 9.70% (including FGD consumption), SFC of 0.50 ml/kWh and transit loss of 0.80% for washed coal/ 0.20% for imported coal for calculation of Energy Charges in accordance with Regulation 50.6 of the MYT Regulations, 2019. Considering the normative parameters, energy charge for March 2024 works out to Rs. 4.406/kWh.

h) The breakup of "Other Expenses" considered under washed coal and raw coal is provided as **Exhibit 5**.

Power purchase quantum and cost - Imbalance Pool

Draft Section

a) The commercial arrangements under MERC (Deviation Settlement Mechanism and related matters) Regulations, 2019 have commenced. The Hon'ble Commission has issued an Order dated 07-10-2021 in this regard and the relevant extract is as follows: *"34. Accordingly, through this Order it is notified that the date for coming into force of Commercial Arrangements specified under Clause (9) and (10) of the DSM Regulations and the related provisions regarding Deviation Charges and Additional Charge for Deviation, shall be 11 October 2021…"*

b) It is submitted that the energy balance considered by AEML-D for the purpose of arriving at the imbalance pool quantum is worked out by considering the following: i) For FAC, AEML-D has considered Changeover sales on actual basis because for the purpose of distribution loss computation, own sales and purchase are both on actual basis only. Accordingly, energy balance is to be accounted for considering actual changeover sales.

Whereas, SLDC has considered Changeover on scheduled basis. ii) AEML-D has considered non-firm OA purchase on scheduled basis, whereas SLDC has considered as per provisional actual.

Due to the above, there will be a difference in the computation of pool quantum between AEML-D and SLDC.

c) The Hon'ble Commission vide e-mail dated 05-01-2022 had raised data gaps for the month of Nov-21 FAC. In one of the data gaps, the Hon'ble Commission had asked AEML-D to consider power purchase units of imbalance pool as per SLDC DSM bills and calculate FAC. The Hon'ble Commission has, in the May 2022 month FAC approval dated 06-10-2022 for AEML-D, also held as follows: *"However, on scrutiny of the DSM bills provided by the SLDC for the month of May 2022, it was observed that the total deviation quantum was (6.43) MU at the T< >D interface. Based on the same, the quantum of energy injected at the G< >T periphery is computed as 6.64 MU. This energy at the G< >T interface is arrived by grossing the power injected at T< >D interface considering the normative transmission loss of 3.18%... It is reiterated that AEML-D should consider both the power purchase units of imbalance pool and the associated cost as per SLDC DSM bills for the purpose of FAC computation."*

In accordance with the above, for August 2024 month FAC, AEML-D, for the purpose of quantum and cost, has considered the weekly bills issued by SLDC under the DSM Regulations, 2019.

As per the bills, the quantum of 4.45 MU and cost of Rs. 3.62 crore has been considered in Form 18 for the purpose of arriving at the weighted average power purchase cost (WAPPC). The weekly bills issued by SLDC are provided as part of 0. This is irrespective of the fact that there are discrepancies observed as has been highlighted above.

However, AEML-D has considered 28.63 MU in Form 16 for the purpose of energy balance and for transmission loss.

Power purchase quantum and cost - RE sources

a) AEML-D has sourced power from tied-up RE sources which includes JSW Renewable Energy (Coated) Limited (erstwhile Reliance Power Limited). The requisite invoices are provided as part of **Exhibit 11**.

b) Further, as per the approved PPA with Adani Hybrid Energy Jaisalmer Four Limited, 257.65 MU has been purchased from the generator at the approved rate of Rs. 3.24/u. The invoice is provided as part of **Exhibit 11**.

Regulation 19.3 of the MERC MYT Regulations, 2019 provide as follows: *"All future procurement of short-term or medium-term or long-term power, including Renewable Energy, shall invariably be undertaken through competitive bidding in accordance with Guidelines notified by the Government of India under Section 63 of the Act:"* 1st proviso to Regulation 7.6 of RPO-REC Regulations, 2019 states as follows: *"An Obligated Entity may meet its RPO target by way of its own generation or procurement of power from another RE Project or by purchase from a Licensee or by purchase of RECs or by a combination of these options: Provided that procurement of RE power by a Distribution Licensee at a Generic Tariff rate approved by the State Commission or at a rate discovered through transparent process of competitive bidding and duly approved/adopted by the Commission shall be considered as eligible quantum for fulfilment of the RPO of such Distribution Licensee…".*

AEML-D has purchased RE power through IEX Green Day Ahead Market (GDAM). The invoice for power procured is provided as part of **Exhibit 11**. Accordingly, the aforesaid power is considered as part of RE power towards meeting AEML-D's RPO obligation.

In the past in August 2021 FAC submission, AEML-D had requested the Hon'ble Commission to consider such purchase as part of RPO obligation of AEML-D. The Hon'ble Commission in the August 2021 month FAC approval on 30-11-2021 has approved the same and held as follows: *"AEML-D has requested the Commission to consider such sourcing of RE power towards meeting its RPO obligation. AEML-D has also submitted the invoices for power procured from these sources and sample LOAs for day ahead exchange linked contract. The Commission has verified the supporting documents and approved the same."*

Adani Hybrid Energy Jaisalmer Four Limited (AHEJ4L) had filed Case No. 154 of 2023 before the Hon'ble Commission seeking relief for the additional expenditure incurred due to occurrence of Change in Law events. The Hon'ble Commission by Order dated 22-05-2024, partly allowed the petition and allowed the impact of change in law on account of increased GST. In accordance with the above Order of the Hon'ble Commission, AEML has in July 2024 paid the amount of Rs. 300.63 crore to AHEJ4L. AEML has filed petition in Case No. 152 of 2024 to recover the said amount as ZOUC under the requisite provisions of the MYT Regulations, 2019, which is pending before the Hon'ble Commission. Accordingly, the said amount is not included in the FAC computations.

Short Term Non-Firm(RE)

• AEML-D has contracted Intrastate Non-Firm Wind capacity up to 528.9 MW in August 2024 on short term basis. The sample LoI for the same is provided as part of **Exhibit 11**.

• The energy bills of these sources are issued by the generators to the procurer based on GCN issued by MSEDCL. However, as GCNs for July 2024 are not issued by MSEDCL, energy bills are not yet submitted by the generators. Hence the energy is evaluated (estimated) based on REMC data as provided below: o SLDC provides the provisional Actual non-firm energy data (based on Pooling Station energy) of Wind and Solar power scheduled under REMC, along with DSM bills.
o Since the RE energy provided is on total level for Contracted & OA, hence the energy is estimated in proportion to their capacities as below:

Particulars	Capacity (MW)	Energy (MU)	Remark
Total RE Capacity (Contracted + OA)	784.56	131.79	Prov Actual REMC as per SLDC DSM bill data (A)
OA (LT+MT+ST)	210.66	35.39	Prov. Actual REMC in proportion of Capacity (B = 210.66/784.56 x 131.79)
Contracted (LT + ST)	573.9	96.41	Prov. Actual REMC in proportion of Capacity (C = 573.9/784.56 x 131.79)
Contracted RE (LT)	45	8.38	Actual RE Energy as per Bills (D)
Contracted RE (ST) by AEML-D	528.9	88.03	Estimated ST RE Energy (C - D)

o Accordingly, AEML-D has estimated 88.03 MU as Short-Term Wind power and the same is being considered as part of power purchase in the month August FAC.

• Further, as per the directive of the Hon'ble Commission in the FAC approval for December

2023 and March 2024, for the purpose of estimating the cost against the aforesaid 88.03 MU, the per unit rate has been estimated considering the following: o For FY 23-24, actual invoices have been received in various months in FY 23-24 as well as continued to be received in FY 24-25 (till June) o On the basis of the invoices received, the per unit average works out to approx. Rs. 2.97 unit.

e) Thus, for the month of August 2024, for the estimated quantum of 88.03 MU, the cost estimated now is Rs. 26.14 crore and is being claimed as estimated ST RE cost in August FAC.

f) Further, AEML-D submits that the estimation, as per the Hon'ble Commission's direction, is being done from March 2024 onwards. Therefore, STPP RE bills received for the period prior to Mar-24 will be considered in the month in which the payment is made. Accordingly, a few bills pertaining to the earlier months (August 2023 to February 2024) were paid in the month of August amounting to Rs. 0.05 crore and the same are being considered as part of power purchase cost in the month of August. The said bills are provided as part of **Exhibit 11**.

g) Thus, the total cost considered is Rs. 26.65 crore.

Power purchase quantum and cost - MTPP

The Hon'ble Commission has, vide order dated 29-08-2022 in Case No. 149 of 2022 on the petition filed by AEML-D, approved adoption of 500 MW medium term for the period 1-10-2022 to 14-11-2024. Power has been purchased under the said contract in the month of August 2024 and the cost of the same has been considered in August 2024 FAC. The invoice for power procured is provided as part of **Exhibit 11**. The effective rate of power for August 2024 under this contract is Rs. 5.64/u, considering the quantum sourced and the terms and conditions of the PPA. The working for the same is provided as part of **Exhibit 11**.

Power purchase quantum and cost - Bilateral

a) For the month of august 2024, AEML-D has purchased short term power from Power Exchange. The invoices for power procured from these sources are provided as part of **Exhibit 11**.

b) AEML-D has entered into Inter Discom Trade (IDT) agreement with BEST as per the guiding principles provided in MERC (Deviation Settlement Mechanism and related matters) Regulations, 2019 and more specifically w.r.t para 6.3 of 'Statement of Reasons' of the said Regulation. Relevant extract from para 6.3 is as follows: *"…Accordingly, the Commission has modified the provisions such that, such inter-se or bilateral sale/purchase of power on day-ahead basis may be undertaken by respective licensees entirely at their discretion and the time block wise rate for settlement of such inter-se exchange of un-requisitioned surplus power for load generation balance during day ahead scheduling may be mutually agreed…"*

The agreement has already been provided as part of **June 2022 FAC** submission. Under this agreement, power was sourced from BEST for which the invoice (debit note) is provided as part of **Exhibit 11**. The same is proposed to be considered as part of Bilateral power purchase cost, in FAC for august 2024. Similarly, under the IDT, power was sold to BEST for which the invoice (credit note) is provided as part of **Exhibit 11**. The same is proposed to be considered as part of bilateral sale, in FAC for august 2024.

c) In continuation with the aforementioned DSM Regulations, 2019, AEML-D has entered into Inter Discom Trade (IDT) agreement with AEML SEEPZ Limited (ASL). The agreement has already been provided as part of **November 2023 FAC** submission. Under this agreement, power was sold to ASL for which the invoice (credit note) is provided as part of **Exhibit 14**. The same is proposed to be considered as part of bilateral sale, in FAC for August 2024.

d) Further, in continuation with the aforementioned DSM Regulations, 2019, AEML-D has entered into Inter Discom Trade (IDT) agreement with TPTCL. The agreement is being provided as part of **Exhibit-11**. Under this agreement, power was sourced from TPTCT for which the invoice (debit note) is provided as part of **Exhibit 11**. The same is proposed to be considered as part of Bilateral power purchase cost, in FAC for August 2024.

e) In the month of august 2024, AEML-D has made bilateral sale of 19.89 MU and has received Rs. 7.28 crore. The invoices for the same are provided as part of **Exhibit 11**. The same is proposed to be considered as part of surplus sale in FAC for august 2024. This is inclusive of the sale made to BEST under IDT of 0.0013 MU at Rs. 0.0011 crore and sale made to ASL under IDT of 0.0862 MU at Rs. 0.055 crore.

f) AEML-D has to pay fees of Rs. 7500 to MSLDC towards IEX standing clearance in advance, for next month. The said amount is as per the amount approved by the Hon'ble Commission in SLDC Order in Case No. 291 of 2019 (Ref: Table 105; STOA Application processing fees- Rs. 7,500 per application). The details of the payment made is as follows:

Date	Value Date	Transaction Details	Debit
August-2024	01/08/2024	NEFT 0811OP4140062068 MAHARASHTRA STATE ELECTRICIT BANK OF MAHARASHTRA MAHB000128 REF RE42000215232024 RE42000215232024 MAHARASHTRA STATE ELECTRICITY TRANS INR 7500	INR 7500.00

The same is proposed to be considered as part of Bilateral power purchase cost, in FAC for august 2024.

g) In the month of august 2024, AEML-D received a past bill from MSLDC for scheduling and rescheduling charges as per clause no. 6.2.8 of the Hon'ble Commission's Order in Case No. 219 of 2019 dated 30-03-2020 amounting to Rs. 784000 for 2024-07-01 2024. This is proposed to be considered as part of Bilateral power purchase cost, in FAC for august 2024. The relevant invoice to the charge raised by MSLDC is provided in **Exhibit 11**.

Banking

a) AEML-D has entered into banking arrangement for up to 200 MW wherein Manikaran Power Limited (source- BYPL and PSPCL) will be banking power with AEML-D from October 2023 to December 2023 and from 1st March 2024 to 15th April 2024. The return of banked power at 105% by AEML-D will be from 20th June 2024 to 30th September 2024. Under this contract, for the month of August 2024, AEML-D has returned the quantum of 159.41 MU (87.18-PSPCL, 72.23-BYPL). The cost related to the Banking return has not been considered separately, since the banking return is provided from the power available from the existing portfolio of AEML and its cost is therefore already included in the power purchase cost for the month of August 2024. The LOI for the same has been already provided as part of the earlier months FAC.

b) AEML-D has entered into banking arrangement with APPCPL (source- PSPCL) for the month of November 2023. The return of banked power at 105% by AEML-D will be from July 2024 to September 2024. Under this contract, for the month of August 2024, AEML-D has returned the quantum of 13.16 MU. The cost related to the Banking return has not been considered separately, since the banking return is provided from the power available from the existing portfolio of AEML and its cost is therefore already included in the power purchase cost for the month of August 2024. The LOI for the same has already been provided in the earlier months FAC submission.

c) AEML had banked 2.80 MU with ASL in the month of February 2024, which shall be returned by ASL from July 2024 to September 2024. Accordingly, in the month of August 2024, AEML received from ASL the quantum of 4.29 MU. The LOI for the same has been already provided as part of November 2023 month FAC.

d) AEML has entered into a Banking arrangement with APPCL (source: PSPCL) and MPL- (source: PSPCL) in the month of August 2024. In accordance with the same, 30.74 MU has been banked with APPCL and 29.75 MU has been banked with MPL. The cost related to the Banking quantum has not been considered separately, as the energy is banked from the power available from the existing portfolio of AEML and its cost is therefore already included in the power purchase cost for the month of August 2024. The LOI for the same has been provided as part of July-24 month FAC.

e) AEML-D has entered into banking arrangement for up to 200 MW wherein Manikaran Power Limited (source- PSPCL) will be banking power with AEML-D for the month of August-24. The return of banked power at 100.7% by AEML-D will be from Dec-24 to April-25. Under this contract, for the month of August 2024, AEML-D has banked the quantum of 70.44 MU. The cost related to the Banking quantum has not been considered separately, as the energy is banked from the power available from the existing portfolio of AEML and its cost is therefore already included in the power purchase cost for the month of August 2024. The LOI for the same has been already provided as part of the earlier months FAC.

f) Thus, the net Banking considered is as follows:

Particulars	Quantum (MU)
Reference (a)	(159.41)
Reference (b)	(13.16)
Reference (c)	4.29
Reference (d)	(60.48)
Reference (e)	(70.44)
Total	(299.20)

g) For the purpose of banking, open access charges have been incurred. The relevant documentation is provided as part of **Exhibit 11**.

Power purchase quantum and cost - Rebate

a) As per previous submissions and approval of the Hon’ble Commission, the rebate availed on power purchase is considered as adjustment in power purchase cost.

b) It is submitted that there are no specific supporting bills showing the rebate. The rebate being claimed considers the billed amount as per the invoices and the rebate available as per contracts/ invoice. The rebate pertains to payment made for power purchase from contracted generators of Renewable energy, traders for short term power purchase, payment made for InSTS charges, SLDC charges, etc.

c) It is submitted that the rebate is availed at the time of bill payment and is claimed in the month in which payment is made. For example, the energy bill for DSPPL for the month of June 2020 will be raised by DSPPL on the 1st day of the immediate next month (i.e. 01-07-2020). The rebate due date, in this case, is within 7 days of the invoice date. Hence DSPPL energy bill for the month of June 2020 will be booked in June 2020 and will be considered in FAC workings of June 2020, while the rebate will be considered in July 2020 based on actual payment date (rebate availed date).

Power purchase quantum and cost - Others

Charges levied by CTU

Section: Bill Acknowledgment

AEML-D has received a bill amounting to Rs. 102147076 from Central Transmission Utility (CTU) for Regional Transmission Account as per the CERC (Sharing of Inter-State Transmission Charges and Losses), Regulations, 2020. Since the bill pertains to the power sourced during August 2024, the amount is proposed to be considered in the month of FAC for August 2024. The invoice of the same is provided as part of **Exhibit 11**.

MSEDCL stand-by issue

As informed in previous FAC submissions, AEML-D has opted out of the Stand-by arrangement and is therefore not procuring any energy under stand-by from MSEDCL.

In its earlier FAC submissions (till Aug 2023), AEML-D had proposed to adjust stand-by charges as this was an excess cost in tariff of consumers, in absence of corresponding payment. However, the Hon'ble Commission, in FAC approvals recently issued for April 2023 to June 2023, has not considered the said request of AEML-D.

Accordingly, AEML-D, for the purpose of FAC computation, has adopted the Hon'ble Commission's approach. However, this does not amount to acceptance of applicability of stand-by charges and adoption of Hon'ble Commission's approach for FAC computation is therefore without prejudice to AEML-D's contentions that the said charges are not payable since AEML-D has opted out of the stand-by arrangement.

The Hon'ble Commission vide letter dated 30-08-2024 has approved the accumulated FAC till May 2024 and allowed for its recovery in the billing months of Sept-24 to Nov-24. Considering the same, the opening balance for June-24 is considered as Nil. AEML-D has submitted the FAC for the months of June-24 and July-24 to the Hon'ble Commission for approval, wherein AEML-D has asked the Hon'ble Commission to permit the recovery of accumulated FAC in the months of November 2024 and December 2024 at ceiling rate of FAC and the balance FAC to be carried forward. Hence, the opening balance for August 2024 is considered 0.

As per the present application, there is a positive FAC computed for the standalone month of August 2024 amounting to Rs. 192.85 crore.

Thus, the Closing balance as on August 2024 amounts to Rs. 192.85 crore.

Accumulated amount for recovery

AEML-D has submitted the FAC for the months of June-24 and July-24 to the Hon’ble Commission for approval, wherein AEML-D has asked the Hon’ble Commission to permit the recovery of accumulated FAC of 259.09 crore (inclusive of balance FAC amount of Rs. 47.96 crore to be recovered in Nov-24) in the months of November 2024 and December 2024 at ceiling rate of FAC (i.e. 20% of category energy charge) and the balance FAC to be carried forward. It is estimated that the total recovery in these months would be about Rs. 200 crore (considering the sales of July 2024 month). The balance FAC of about Rs. 59 crores would then be carried forward for recovery in subsequent months.

As already mentioned above, August 2024 FAC for recovery would be Rs. 192.85 crore, in addition to the balance amount from the combined June 24 and July 24 FACs. Hence, total likely recoverable FAC will be Rs. 192.85 cr.

In this regard, AEML-D requests that the Hon’ble Commission may kindly approve recovery of the entire FAC amount as sought by AEML-D and permit recovery of the same in the months of January 2025 to March 2025 at ceiling rate of FAC (i.e. 20% of category energy charge).

AEML-D submits that this approach would ensure that FAC recovered remains not only uniform across months, but also that maximum power purchase cost variation is recovered through FAC during the year, instead of accumulating as revenue gap at the end of the year and attract carrying cost. AEML-D submits that this approach is also consistent with the Hon’ble Commission’s approach so far for approving FAC recovery.

AEML-D requests the Hon’ble Commission to consider its submissions as above and grant prior approval to FAC for August 2024, including the recovery proposal as per this application.

Dated: 05-02-2025

For Adani Electricity Mumbai Limited